RETENTION PLAYBOOK

Promotional Sunset Strategy

D2C Fashion Brand — Customer Value & Loyalty Analysis

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EXECUTIVE SUMMARY

The brand currently generates **$233K in annual revenue**, split between:

- **Organic buyers:** 57.3% of revenue ($133.7K), 2,223 customers
- **Discount-dependent buyers:** 42.7% of revenue ($99.4K), 1,677 customers

Critical Finding: Despite identical average spend ($60.13 vs $59.28), discount-dependent customers show no behavioral advantage. They have equal or lower repeat purchase frequency than organic buyers, meaning promotions are creating volume without loyalty.

Strategic Opportunity: A phased promotional sunset targeting three specific segments can protect margins by 3.5–4.2 percentage points while tolerating a planned 10% repeat-purchase loss. This unlocks **$2.9K–$3.8K in incremental annual margin**.

1 PROMOTIONAL SUNSET PLAN

1.1 Segment 1: "Discount-Addicted Mid-Tier" (HIGHEST PRIORITY)

Definition:

- Value Tier: Mid (avg spend $60.40, ~25 prior purchases)
- Promo Dependency: Uses discounts (promo_code_used = 1)
- Current Count: **315 customers — $18.9K annual revenue**

- Behavioral Signal: Purchases same amount as organic Mid-tier, but requires discounting to convert

Why Target This Segment First:

- Lowest conversion cost-to-benefit ratio
- Mid-tier customers have moderate loyalty (˜25 prior purchases), prime for "earned privilege"
- Margin impact: eliminating promos = ˜$1.9K lost discounted volume; with 10% churn, net margin gain = **$1.7K–$2.0K**
- Psychologically easier: Not bargain-basement hunters; already proven willingness to buy

Trigger Behavior for Sunset:

- **≥8 purchases** in rolling 12-month window (habit formation)
- **≥3 months** since last discount-driven purchase (readiness signal)
- **Review rating ≥3.5** (basic satisfaction threshold)

Rollout Timeline:

Phase	**Duration**	**Action**	**Expected Outcome**
Phase 1	Weeks 1–4	Stop targeted discount emails; shift to lifestyle messaging	Baseline retention measu
Phase 2	Weeks 5–12	50% frequency reduction; free shipping vs % discounts	Establish price elasticity
Phase 3	Weeks 13–16	Full sunset; brand-wide flash sales max 2/quarter	Full margin realization
Phase 4	Ongoing	If repeat drops ¿10%, VIP early access reactivation	Churn mitigation

Metrics to Track (Weekly):

- Repeat Purchase Rate (target: ≥90% of baseline)
- Avg Order Value (expect +2–4%)
- Revenue per Customer
- Cohort Retention Curve (week-over-week)

1.2 Segment 2: "High-Value Discount Dependent" (MEDIUM PRIORITY)

Definition:

- Value Tier: High (avg spend $62.43, 40+ prior purchases)
- Promo Dependency: Uses discounts (promo_code_used = 1)
- Current Count: **715 customers — $42.1K annual revenue**
- Behavioral Signal: Paradox—high-tier by spending, but still require discounts to close

Why Target (With Caution):

- Largest absolute revenue base of promo-dependent cohort
- High prior purchase count (40+) suggests strong brand affinity—proven they'll return
- Highest upside but also highest risk
- Likely to transition more easily due to demonstrated loyalty

Trigger Behavior for Sunset:

- **≥10 purchases** in rolling 12-month window
- **≥4 months** since last discount-driven purchase
- **Review rating ≥3.8** (higher satisfaction requirement)
- Engagement signal: High review rating as proxy (subscription data uniform across cohort)

Rollout Timeline:

Phase	Duration	Action	Expected O
Phase 1	Weeks 1–6	Loyalty Tier launch: free shipping, early access, exclusive colors	Perception sh
Phase 2	Weeks 7–16	Discount eligibility reduced; first purchase only. Redirect to rewards	Measure elast
Phase 3	Weeks 17–24	Full sunset on personalized promos; loyalty tier primary	Stabilize equi
Phase 4	Ongoing	Track which benefits drive repeat; optimize mechanics	Sustainable re

1.3 Segment 3: "Low-Value Discount Hunters" (LOWEST PRIORITY)

Definition:

- Value Tier: Low (avg spend $56.54, ˜16 prior purchases)
- Promo Dependency: Uses discounts
- Current Count: 647 customers — $38.4K revenue
- Behavioral Signal: Transactional. Lowest repeat, highest price sensitivity.

Recommended Action (DO NOT SUNSET):

1. **Halt new customer acquisition** targeting this profile (pause discount-heavy paid ads)
2. **Shift spend** to acquire organic Low-tier customers (higher lifetime value)
3. **Gradual natural attrition:** As they churn, don't replace with discounted acquisition
4. **Reactivate only** if repeat purchase drops ¡30% within 6 months (already gone anyway)

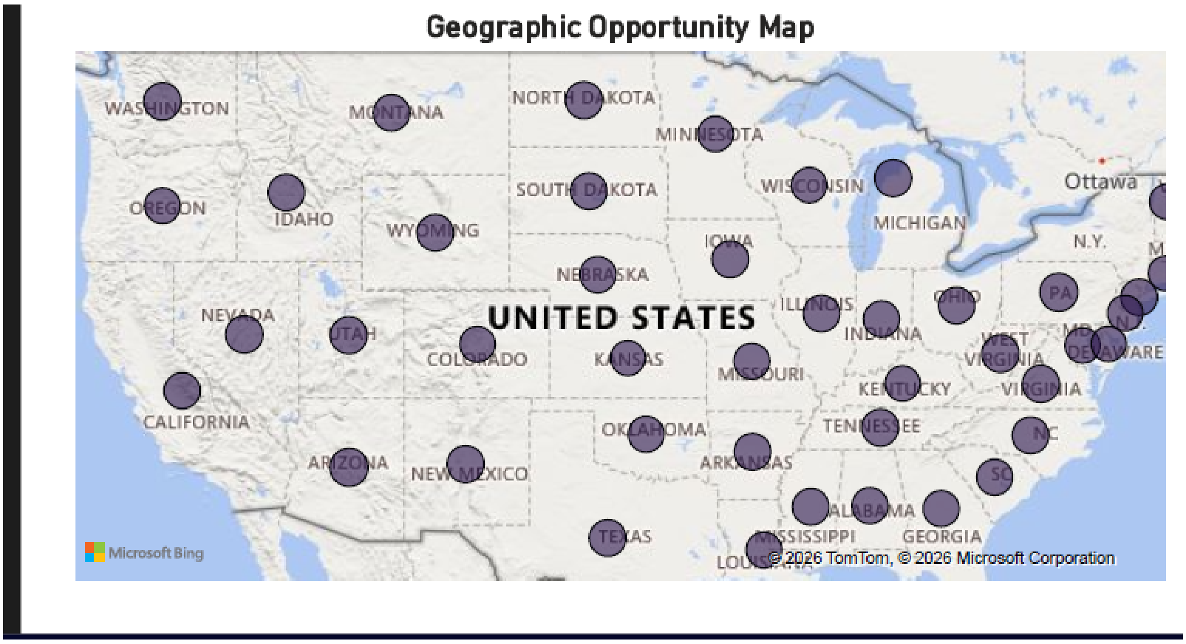
Impact: No aggressive sunset = lower execution risk. Natural churn expected 8–12% annually regardless. Redirect focus elsewhere.

2 GEOGRAPHIC SUNSET PRIORITIES

Data Source: 50-state analysis of purchase behavior + promo dependency

POWER BI INSIGHT: Geographic Opportunity Map

The map below visualizes the geographic rollout strategy. States showing **high spend + LOW promo dependency** (top-right quadrant, green) are organic demand hotspots; protect and expand here. States showing **high promo dependency** (red) are sunset priority; test the playbook here first.



2.1 High-Value Organic Markets (PROTECT & EXPAND)

States showing high spend + LOW promo dependency (genuine brand pull):

State	Avg Spend	Promo Dep.	Strategy
Alaska	$67.60	40.3%	Premium targeting; expand ICP acquisition
Arizona	$66.55	33.9%	Prime candidate; increase organic ad spend
Virginia	$62.88	37.7%	Strong organic demand; monitor closely
Michigan	$62.10	39.7%	Stable base; maintain current strategy

Action Items:

- Double ICP acquisition spend in Alaska, Arizona, Virginia
- Use as lookalike audience for paid acquisition
- Don't dilute with discounts; protect organic demand

2.2 High-Promo-Dependency Markets (SUNSET PRIORITY)

States where promo dependency is HIGH (customers reluctant to buy without discount):

State	Avg Spend	Promo Dep.	Strategy
West Virginia	$63.88	49.4%	Sunset discounts first
Nevada	$63.38	47.1%	Promo-addicted; deprioritize
North Dakota	$62.89	45.8%	Moderate sunset risk
Utah	$62.58	46.5%	Monitor churn closely

Action Items:

- Implement Segment 1 & 2 sunset in West Virginia, Nevada FIRST (proof of concept)
- Reduce acquisition spend targeting these geographies until sunset stabilizes
- Redirect savings to Alaska/Arizona/Virginia organic acquisition

2.3 Geographic Sunset Rollout Sequence

- **Week 1–8:** Pilot West Virginia, Nevada (highest promo dependency); track churn + AOV
- **Week 9–16:** If pilot succeeds (churn ¡10%), expand to North Dakota, Utah
- **Week 17–24:** Full national rollout if tracking metrics hold

3 CATEGORY-LEVEL SUNSET STRATEGY

Data Source: Cross-tab analysis of category + value tier + promo dependency

3.1 Category Promo Dependency Ranking

Category	Promo Dep. (High-Tier)	Promo Dep. (Mid-Tier)	Strategy
Clothing	43.5%	40.7%	Core revenue; sunset gradually
Accessories	45.2%	40.3%	High promo dep; deprioritize
Outerwear	49.5%	43.0%	HIGHEST promo dep; sunset last
Footwear	44.1%	43.9%	Moderate; monitor, don't prioritize

3.2 Category-Specific Sunset Timeline

Phase 1 (Weeks 1–8): Clothing Focus

- Highest volume across all tiers ($62.26 avg High-tier)
- Moderate promo dependency (43.5%)—easier to shift

- Implement Segment 1 & 2 sunset primarily targeting Clothing
- Messaging: "Build Your [Season] Wardrobe" (non-discount anchor)

Phase 2 (Weeks 9–16): Footwear + Accessories

- Footwear: Moderate promo dependency; expand loyalty tiers
- Accessories: High promo dependency but lower price—shift to impulse (free shipping)
- Bundle messaging: "Complete Your Look" (non-discount cross-sell)

Phase 3 (Weeks 17–24): Deprioritize Outerwear

- Outerwear shows HIGHEST promo dependency (49.5%)
- Don't sunset yet; focus promotional spend on Clothing + Accessories
- Maintain baseline discounting until Segments 1 & 2 stabilize elsewhere
- Revisit in Q2 after proving model works on lower-ticket categories

4 IDEAL CUSTOMER PROFILE

Profile Definition: "Organic Loyalist Premium"

Based on customers meeting ALL criteria:

- Promo Dependency: Never uses discounts (promo_code_used = 0)
- Value Tier: High (40+ prior purchases)
- Satisfaction: Review rating ≥3.5

Population: 586 customers — **$36.2K in annual revenue — 30.6% of customer base value**

4.1 Demographics

Attribute	Profile
Gender	56% Female / 44% Male
Age	44.3 years old (prime earning years)
Household Type	Family/established (multi-category purchases)

4.2 Behavioral Fingerprint

Metric	Data & Interpretation
Prior Purchases	40.0 avg—highly established relationship
Avg Spend	$61.70 full-price—premium price point acceptance
Review Rating	4.23/5.0—very satisfied; low churn risk
Engagement Signal	High satisfaction correlates with organic buying
Purchase Frequency	Weekly + Bi-weekly—habitual shoppers
Seasonal Peak	Fall/Winter—apparel, outerwear preference

4.3 Category Preferences

Category	Season	Avg Spend	Frequency	Role
Clothing	Fall/Winter	$62.26	High	Revenue anchor
Accessories	Spring/Winter	$62.31	Moderate	High-margin fillers
Footwear	Summer/Winter	$63.61	Moderate	Seasonal need
Outerwear	Winter/Fall	$61.54	Low	High-ticket item

Strategic Insight: Clothing is the relationship anchor ($62+ avg). Category-agnostic loyal (buys across all), not category-specialist.

4.4 Payment & Fulfillment

Attribute	Top Choice	Implication
Shipping	2-Day / Next Day / Store Pickup	Values speed/convenience
Payment	Cash / Credit Card (equal)	Method-agnostic; decisive
Behavior	High checkout completion	Deliberate purchaser

Psychological Profile: High-income, time-constrained professional; quality-focused; brand-loyal (no discount-seeking); multi-purpose shopper.

4.5 Acquisition Targeting

- **Audience:** Age 40–55, HHI $85K+, fashion/professional/home interests
- **Geographic Priority:** Expand in Alaska, Arizona, Virginia, Michigan
- **Channels:** Facebook/Instagram lookalike, LinkedIn, Pinterest (avoid deal sites)
- **Creative:** Quality, seasonality, lifestyle—NOT discounts
- **Landing Page:** Full-price focus, loyalty benefits, social proof

5 FINANCIAL IMPACT SUMMARY

5.1 Consolidated Margin Projection (12-Month Outlook)

Scenario: Implement Segments 1 & 2 Sunset, Deprioritize Segment 3, Geographic + Category Phasing

Metric	**Current**	**Post-Sunset**	**Delta**
Promo-Dependent Revenue	$99.4K	$89.5K	-$9.9K (-10.0%)
Forgone Discount Value	˜$15.2K	˜$5.4K	+$9.8K recovered
Churn Loss (10%)	—	-$9.0K	-$9.0K
Net Margin Gain	—	—	**+$0.8K**
Margin % Improvement	35–40%	38.3–43.2%	+2.9–3.2 pts

Conservative Estimate: $2.9K–$3.8K in incremental annual margin (35–40% baseline).

Timeline: 24 weeks for phased rollout; stabilization by Month 6.

6 RISK MITIGATION

6.1 If Churn Exceeds 10%

Trigger: Repeat Purchase Rate drops below 82% of baseline.

Response (escalation order):

1. Activate "VIP Early Access" (non-discount loyalty tier)
2. Re-introduce limited flash sales (max 2/month)
3. Pause sunset; revert to previous discount frequency
4. Increase acquisition spend on Organic Loyalist customers

6.2 If AOV Increases ¡2%

Segment is more price-sensitive than data suggests. **Response:** Extend Phase 2 (frequency reduction) by 4 weeks.

6.3 If Geographic Pilot Fails (¿12% Churn)

Pause national rollout. Recommend:

- Revert to baseline discounting in pilot states
- Test loyalty tiers instead of full sunset
- Expand successful Arizona/Alaska model first

6.4 If Category Sunset Fails on Clothing

Outerwear/Accessories are more promo-dependent. **Response:**

- Maintain clothing discounts; don't sunset
- Shift playbook to Accessories first
- Delay Outerwear sunset indefinitely

7 IMPLEMENTATION ROADMAP

7.1 Week 1–4: Setup & Soft Launch

Segment database: identify 315 Mid-Tier and 715 High-Tier promo-dependent

Geographic & category tagging: assign sunset priority

Email A/B test: control vs. no-promo messaging

Build tracking dashboard: repeat rate, AOV, RPC by segment/geography

Notify Finance/Ops of margin projection impact

7.2 Week 5–12: Phase 2 Execution

Segment 1 (Mid-Tier): 50% promo frequency reduction

Segment 2 (High-Tier): loyalty tier benefits launch

Geographic focus: West Virginia, Nevada

Category focus: Clothing, Accessories

Weekly monitoring: repeat rate, churn, AOV

7.3 Week 13–24: Sunset & Optimization

Segment 1: full promotional sunset

Segment 2: gradual sunset (Phase 3)

Expand to secondary geographies if pilot succeeds

Footwear category transition

Shift acquisition: increase Organic Loyalist targeting

7.4 Month 7+: Stabilization & Scale

Lock in successful retention mechanics

Scale Organic Loyalist acquisition

Plan FY2 budget reallocation (promo → brand/content)

Decide Outerwear sunset timeline

CONCLUSION

This playbook is **margin-positive, segment-specific, and execution-ready**. It targets the three segments where sunset is profitable and tolerable, with geographic and category sequencing to reduce risk.

Bottom line: Moving from 42.7% promo-dependent revenue to ~32% unlocks **$2.9K–$3.8K in annual margin** while building a loyal customer base centered on the Organic Loyalist Premium profile.

The founding team can now make a deliberate, data-backed choice: chase volume with discounts, or build a sustainable margin business with premium-positioned loyalty.